



L'ORÉAL

FINANCE & LEGAL

TREASURY & CORPORATE FINANCE

TARGET TREASURY PROCESSES

Payments Management
2026

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Q&A AND PAYMENT TIPS

GLOSSARY

Current Accounts	Accounts of entities held by FINVAL. They are governed by a treasury agreement that provides for the possibility of deposits and/or withdrawals and specifies the applicable interest rate and any overdraft limit. They work in the same way as external bank current accounts
CCY	Currency
SHAR	Fees are shared
SIS ID	Identity authentication and payment details securization service
DPCI	Intragroup Common Payment Date
Treasury Transfer	Payments between two accounts owned by the same entity (either with Finval or local banks)
PINO	Payments In Name Of Payments in the same country or within EUR zone :
Domestic Payments	•For Intragroup payments : between 2 entities sharing the same functional currency •For Non-Group payments : in the functional currency of the entity sending the payment
POBO	Payments On Behalf Of
Cross Border Payments	Payments that do not meet the definition of Domestic payments
SWIFT	Society for Worldwide Interbank Financial Telecommunication
Functional Currency	The currency of the economic environment in which it operates
T&CF	Treasury & Corporate Finance department
Diapason	Treasury Management system for L'Oréal entities
MyTreasury	Treasury Platform
MyServices	Treasury Support

GLOSSARY NEW TARGET ORGANIZATION, GOVERNANCE MODEL & TEAM ROLES

BEST & BIG COUNTRIES*

Zone Treasurer

The **Zone Treasurer** is accountable for the implementation of the treasury & financing norms and the compliance with the TTP. Its is also the responsibility of the Zone Treasurer to review and pre-approve all derogation & agreement requests to the T&CF charter.

Treasury Director

The **Treasury Director** is responsible for the application & the respect of the target processes and the T&CF charter policies.

Team Leaders FP&A and Operations

The **FP&A & Treasury Operations Leaders** manage the operational teams, assist the Treasury Director in day-to-day decision making, and are accountable for the delivery of activities and the coordination of treasury issues.

Transversal Support

The **Transversal Support** is responsible for supporting projects and maintaining the treasury systems configurations at local level (Treasury Support level 1).

Treasury FP&A

The **Treasury FP&A** focuses on financial planning and analysis : FX risk management (FIP/CLIP and Gains & Losses analysis), Cash Flow forecast Anaplan, Financial I&E.

Treasury Operations

The **Treasury Operations** manages all daily treasury activities : cash management, bank relationships, payment control, local FX trading , fraud compliance correspondent and guarantees management.

BPO

The **BPO** supports and activates local processes for convergence towards standards and new implementations, in addition to operational execution.



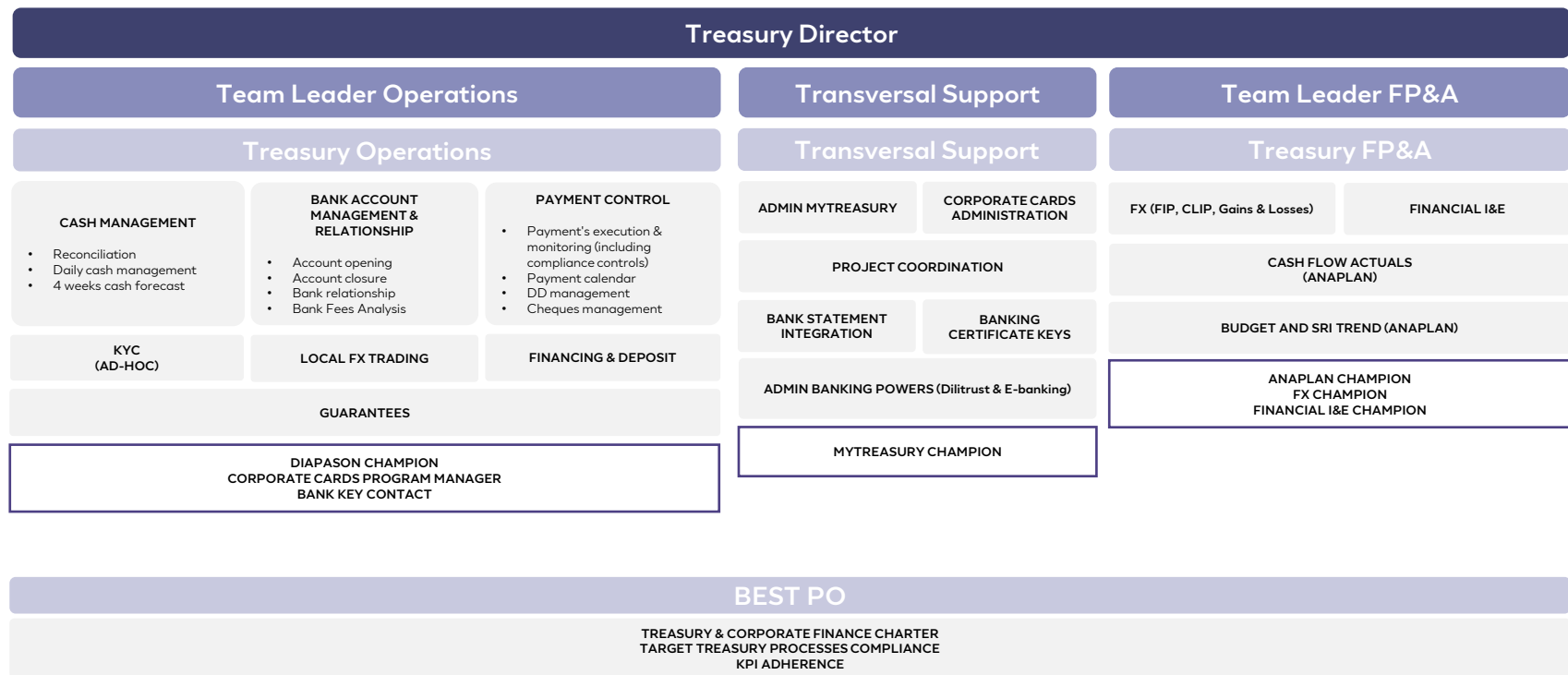
HOW TO ATTRIBUTE ROLES ?

- A role is a set of operational tasks, We consider that **1 role = 1 person**.
- Role attribution must respect segregation of duties.

→ *This organization must be implemented considering the organization & resources. It is the Team Manager responsibility to adapt and split the team depending on the organization.*

Information contained in this document does not imply that decisions have been made to take specific actions. Any decision/implementation actions will take place within the required social and legal processes.

*BRAZIL, RUSSIA



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PAYMENT MANAGEMENT KPI

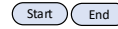
KPI	NAME	DEFINITION
	% payments executed by FINVAL versus external banks	% of payments executed by FINVAL (POBO) versus external banks based on the bank statements received by Group Treasury (Target 90% PINO+POBO)
	Maximum # of payment dates in a month for 1 entity	Maximum number of external payment value date by entity in a month executed via FINVAL
	% Secured web banking	Web banking used for payment where there is : • Dual administration • No manual input of payments • H2H secured connection for payment file • Encrypted and sealed payment file

LEGEND

Understanding of processes

Symbol

Start / End of process



Manual activity



Manual activity with application



Automatic activity with application



Decision



Document



Risk



Operational Control



Managerial Control



KPI



NEO Implementation



SIS ID



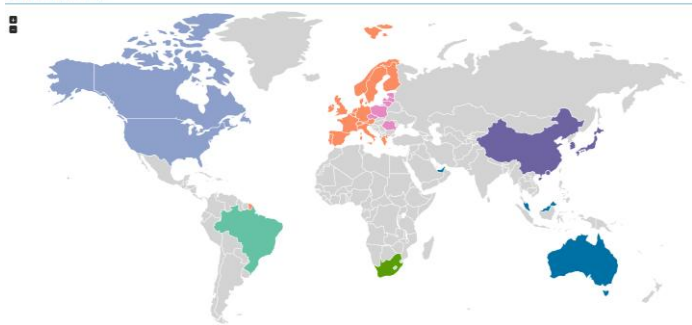
SIS ID is a tool available in MyTreasury for all entities within the Group to secure and provide confidence score for suppliers' bank details. It's a collaborative tool using a data base in each country that can simplify the process. It adds more security on beneficiary bank details and saves time in the beneficiary creation and signatory process.

It should be used by all entities for supplier creations and modifications when **SIS ID is available in the supplier country**. To check if a country is eligible, a map is available in MyTreasury. To complete the check, supplier national identifier, country code, and swift code are mandatory information. The type of the supplier national identifier needed is also available in MyTreasury map.

If a supplier can be eligible to SIS ID checks, there is a possibility to invite him to register on the platform via MyTreasury. Group recommendation is to invite automatically beneficiaries that are not identified in the tool.

Any fraud or fraud attempt on suppliers' bank details must be reported to the T&CF, who reports to SIS ID.

SIS-ID Configuration Map



CHECK SCORES

SUPPLIER ID
COUNTRY CODE
SWIFT CODE

 Supplier **automatic validation**, no need for supplier validation by authorized signatory in MyTreasury

   Suppliers must be signed by an authorized signatory in MyTreasury. A call back procedure is required as mentioned in the [TAP Vendor Master Data](#).



- 1/ Which national ID is preferred ?
Following the link below, the first one is preferred national ID to use
[Company identifiers and bank details formats supported by geography - Help Center](#)
- 2/ What bank account format to use for each country ?
The link below allow you to identify the bank account format depending on the country
[List of countries with banking database partners - Help Center](#)

PAYMENTS & COLLECTIONS EXEC-SUMMARY

UPDATE

KEY PRINCIPLES

FINVAL RELATIONSHIP

YES

NO

Entities within Euro Zone

Other Entities

1 FINANCIAL RELATIONSHIP
within the Group Core Banks list**

2 FINANCIAL RELATIONSHIPS
within the Group Core Banks list**

3 FINANCIAL RELATIONSHIPS
within the Group Core Banks list**



FINVAL current account

Local bank account

FINVAL current account

Local bank account

Local bank account

Non-Group payments :

- Domestic → weekly
- Cross Border → bimonthly + DPCI date

Intragroup payments:

- Domestic + Cross Border → DPCI date

 **No payment except taxes & salaries**

Non-Group payments:

- Cross Border → bimonthly + DPCI date

Intragroup payments:

- Domestic + Cross Border → DPCI date

Non-Group payments :

- Domestic → weekly

Non-Group payments :

- Domestic → weekly
- Cross Border → bimonthly + DPCI date

Non-Group collections :

- Collections in foreign CCY

Intragroup collections:

- Collections in local & foreign CCY

Non-Group collections :

- Collections in EUR

Non-Group collections :

- Collections in foreign CCY

Intragroup collections :

- Collections in local & foreign CCY

Non-Group collections :

- Collections in functional CCY
- (split between the two local banks)

Non-Group & Intragroup collections : Collections in functional and foreign CCY (split between the three local banks)

PAYMENTS

COLLECTIONS

The default payment workflow is through the Group Payment Factory. 

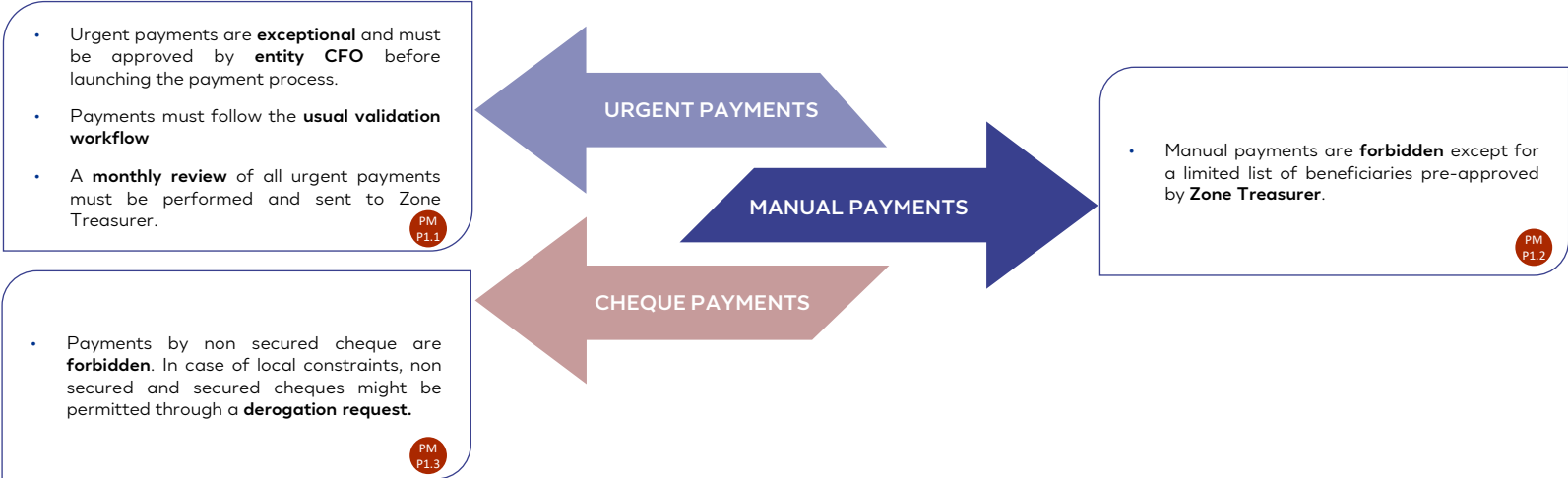
Payments using Finval current accounts (POBO)

Non-group or intragroup payments debited from FINVAL accounts.

Payments using local bank account (PINO)

Non-group or intragroup payments debited from the entities local bank accounts.

Alternative means of payments requiring an approval and/or derogation.



 An annual review of payment types used within each entity must be performed by the Best Treasury Manager to ensure that the criteria defined in [T&CF Charter](#) are respected

Workflow reference	At-risk situation	Controls		Manual / Automatic	Periodicity	Performed by	Control plan reference
	Urgent payment not compliant		Ensure the urgent payment have been validated approved by the entity CFO	Manual	Each Occurrence	Treasury Operations	PM.P1.1-1.1
			Based on a sampling, ensure operational control has been performed	Manual	Quarterly	Treasury Operations Leader	PM.P1.1-2.1
	Manual payment not compliant		Ensure the manual payment have been preapproved by the Zone Treasurer	Manual	Each Occurrence	Treasury Operations	PM.P1.1-1.2
			Based on a sampling, ensure operational control has been performed	Manual	Quarterly	Treasury Operations Leader	PM.P1.1-2.2
	Cheque payment not compliant		For non secured & secured cheque payments, ensure a derogation request has been approved by T&CF	Manual	Each Occurrence	Treasury Operations	PM.P1.1-1.3
			Based on a sampling, ensure operational control has been performed	Manual	Quarterly	Treasury Operations Leader	PM.P1.1-2.3

 RISKS

 OPERATIONAL CONTROLS

 MANAGERIAL CONTROLS

 Controls are currently under review jointly with BEST ICM and will be updated for a next TTP release

i HOW DO WE SECURE L'ORÉAL'S PAYMENTS ?



SIS ID

Control of banking
information by national ID



Fraud compliance controls

Internal Control Questions



**Reducing manual payments
and web banking platforms**



Atypical control

Control of Unusual amounts



**One single platform
and Token**



SafeWatch Filtering

Sanction screening of all
L'Oréal's vendors

01

Signatory Availability

- Updated signatories on Dilitrust
- Set-up of signatories in MyTreasury & web banking.
- Ensure access to all signatories to MyTreasury & Web banking if applicable
- Communication of payment calendar
- Define the payment process respecting segregation of duties
- Organize signature back-ups

02

Payment campaigns

- A monthly payment calendar must be prepared & shared with the different departments involved in the payment process
- Payment campaigns must respect the payment calendar

03

Urgent Payment

- Urgent payment must be avoided and remain exceptional
- Urgent payment must be validated by entity CFO before launching the payment process

04

Non-authorized payments

- Manual payments are exceptional, and non secured cheques are no longer permitted
- For the use of secured cheques, a derogation request must be approved by the Zone Treasury and the T&CF Zone if local constraints apply

05

Supplier Data Base

- Call back procedure if necessary (If SIS ID status is not green)



THE GROUP STANDARD REGARDING VENDOR PAYMENTS FEES IS THAT THE FEES SHOULD BE SHARED

MANAGING SIGNATORIES' AUTHORIZATIONS

01

Signatories' authorizations must be updated frequently based on DiliTrust. Updates and needs for signature devices must be anticipated.

02

User requests must be submitted in MyServices and are managed by BEST Treasury support.

03

Banking powers available in DiliTrust eBam must be signed by the entity legal representative.

04

Updates in MyTreasury can only be made based on signed banking powers.

CONTROLS* TO BE PERFORMED BY SIGNATORIES



SIGNATURE BOOK CONSISTENCY AND TOTAL AMOUNT (BCM VS MYTREASURY)



DEBIT ENTITY



MYTREASURY COLOR CODE



First transfer to this beneficiary's account



First transfer to this beneficiary's account but SIS-ID control score is Green



Invalid payment on the last transfer to this account



Another transfer to the same account exists with the same value date, amount and currency



The transfer Currency is not consistent with the Account Country to be credited



The transfer has been declared positive by the anti-money laundering control. Then it has been justified.

*The CFO is responsible for organizing these controls.



IN CASE OF DOUBT DURING THE VALIDATION PROCESS, THE RECOMMENDATION IS TO PUT THE PAYMENT ON HOLD

IF YOU DON'T AGREE WITH THE PAYMENT, THE RECOMMENDATION IS TO REJECT IT

WEEK	M	T	W	T	F	S	S
1							
2				\$			
3	▨	▨	▨	▨	▨	▨	
4				\$			
5							
6				\$			
7	▨	▨	▨	▨	▨	▨	
8				\$			
9							

- Non group domestic payments
- \$

Non group Cross border payments
- ▨

Cross Border & DPCI payments aligned with MyTreasury Value Date

This calendar applies to **all intragroup and non-group payments except :**

Nature of operations :

- ☒ Acquisition
- ☒ HR and taxes payments
- ☒ Payments related to commercial papers and shares buyback
- ☒ Treasury Operations
- ☒ Dividend

Payment type :

- ☒ Preauthorized direct debit

PRINCIPLES

- Domestic Payments : 1 value date per entity and per week.
- \$

Cross Border Payments : 1 value date on the Thursday of every even week.
- ▨

DPCI date is the monthly intragroup cross border common payment date defined in MyTreasury calendar by T&CF Department.
- \$

Non-group Cross Border payments can be mutualized on DPCI date.
 - If the payment value date is **not available for a specific currency** on the day defined in this calendar, the entity can choose the value date of **the day after**.
 - A monthly payment calendar must be prepared & shared with signatories.

FOCUS - Payment of Intragroup Invoices

- ▨

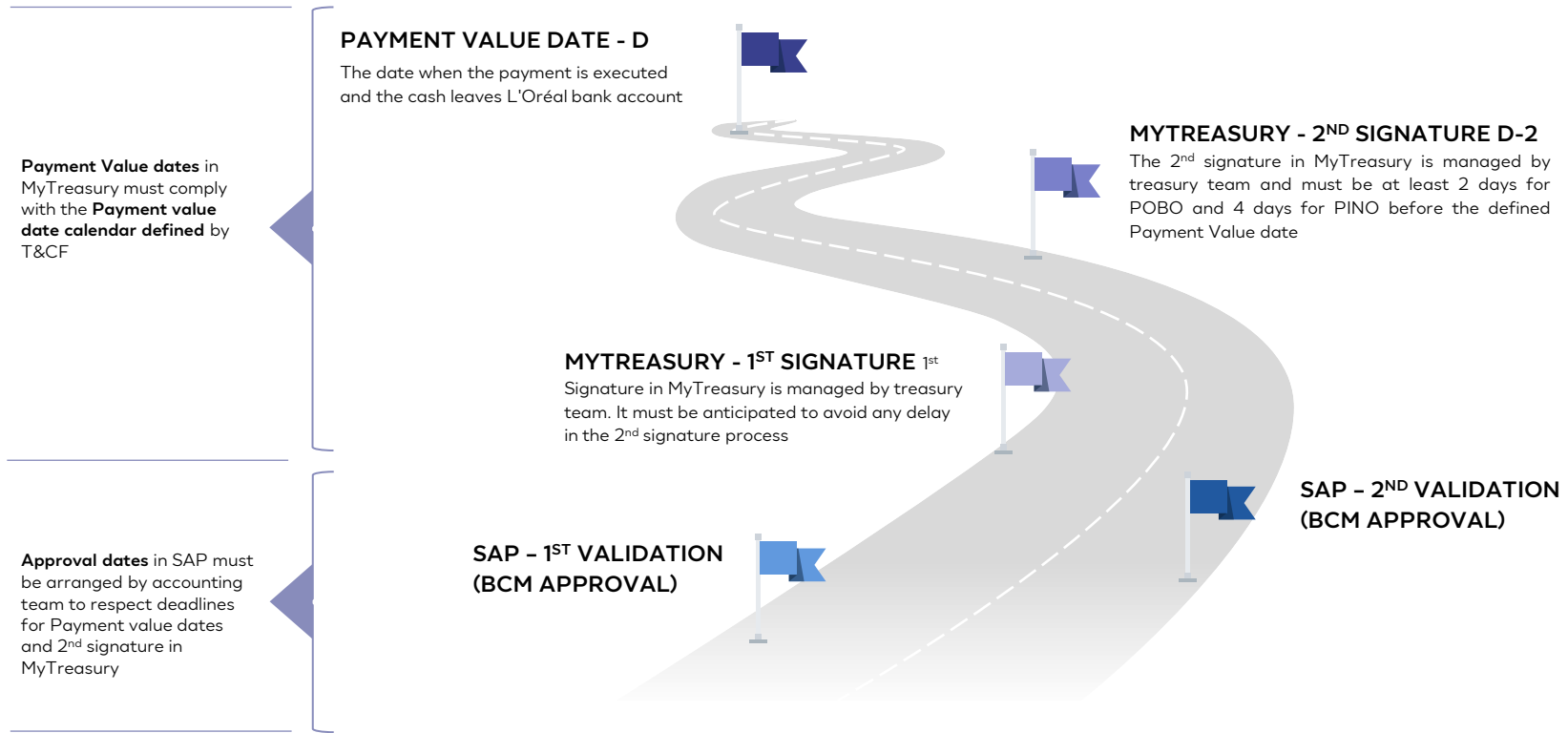
 - Intragroup payment term is set **at DPCI M+1** for all invoices except for specific local custom and tax requirements.
 - Payments must be scheduled to respect DPCI calendar.
 - All exceptions must be raised and validated by the Group's functional departments on a case-by-case basis.

DEFINITIONS

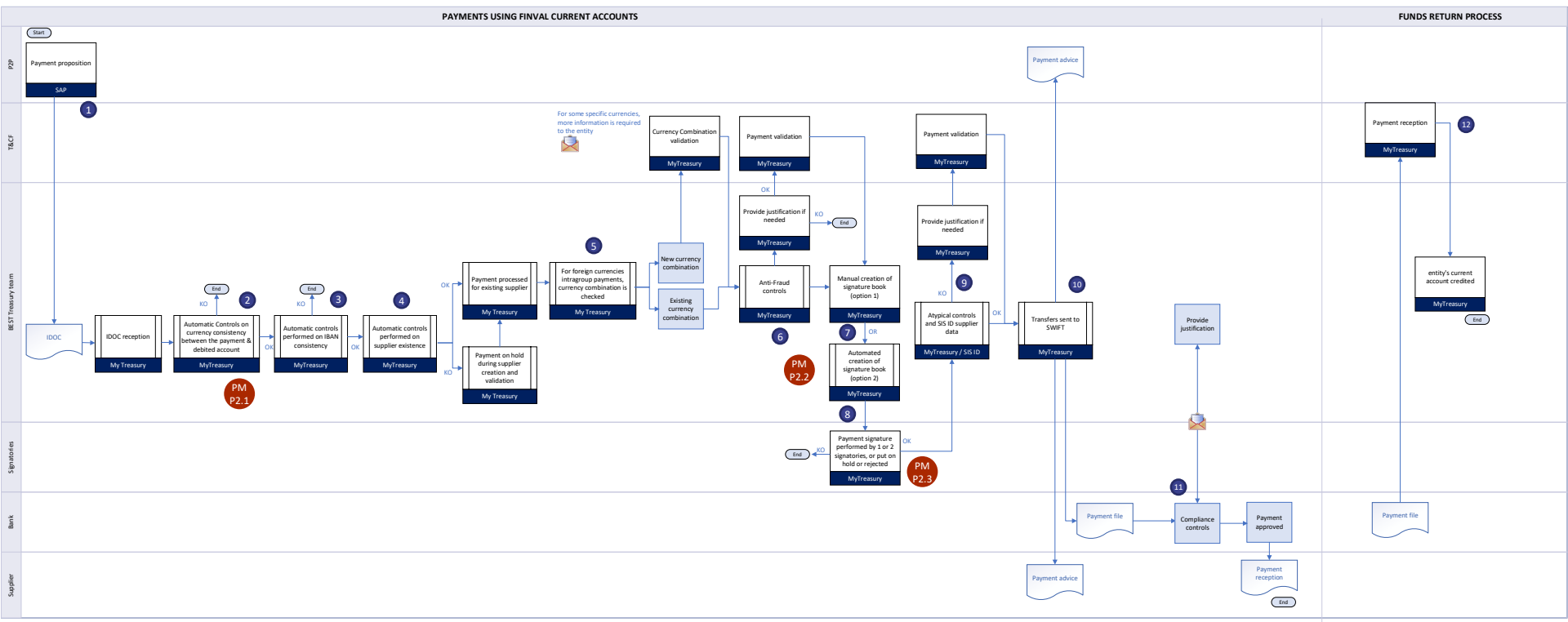
- Domestic Payments :
 - For Intragroup payments : between 2 entities sharing the same functional currency.
 - For Non-Group payments : in the functional currency of the entity sending the payment.
- \$

Cross Border Payments : Payments that do not meet the definition of Domestic payments.

PAYMENT JOURNEY



PAYMENTS USING FINVAL CURRENT ACCOUNTS



DESCRIPTION

The purpose of this process is to perform **payments using Finval current accounts**.

- 1 Payment propositions are created in SAP. An IDOC is automatically sent from SAP to MyTreasury.
- 2 Automatic controls currency consistency between the currency payment and the debited account currency are performed in MyTreasury.
- 3 Automatic controls on IBAN consistency are performed. If the control is KO, the payment is rejected.
- 4 Automatic controls on supplier existence are performed in MyTreasury. For existing suppliers, the payment is processed automatically. If not, the payment is on hold until the supplier validation process is completed.
- 5 For intragroup payments made in foreign currencies (which do not correspond to any of the functional currencies of the two entities), currency risk is managed by T&CF.
 - I If the currency combination between the two parties already exists in the FX systems, the transaction automatically continues to the next step. If the currency combination does not exist, it needs to be created and validated by T&CF, before continuing to the next step. For some specific currencies, more information will be asked to the entity.
- 6 Anti-Fraud controls are performed automatically in MyTreasury. Payment may be stopped, and the anti-fraud and compliance correspondent of the entity must answer to additional questions. [See slide justification request](#) for additional details.
- 7 Once these two controls are validated, the signature book can be created. It can be automatic or manual. No modification is allowed on payments after the signature book has been finalized.
- 8 Payment are signed by one authorized signatory for intragroup payments or two authorized signatories for external payments. Controls are performed by signatories based on BCM data.
- 9 One last automatic security check is performed on unusual amounts and supplier payment details (SIS ID). Entity may be asked to answer additional questions and confirmations of payment authenticity.
- 10 Swift transfer is executed, and payment advice is automatically sent to accounting and supplier.
- 11 Payments can face compliance checks from the bank. The bank send compliance question to T&CF who contact the entity. The entity must provide justification depending on the bank demand to T&CF

Funds Return process

- 12 The payment can be rejected by the bank. The T&CF receives the funds and credits the account of the entity concerned. The reasons of rejection are detailed in the [Q&A section](#).

Workflow reference	At-risk situation	Controls		Manual / Automatic	Periodicity	Performed by	Control plan reference
PM P2.1	Non treatment of rejected payment	PM P2.1	Ensure that rejected payments have been analyzed and communicated to concerned stakeholders	Automatic	Each occurrence	Treasury Operations	PM.P2.1-1.1
		PM P2.1	Based on a sampling, ensure operational control has been performed	Manual	Monthly	Treasury Operations Leader	PM.P2.1-2.1
PM P2.2	Non execution of payment	PM P2.2	Ensure to reply to Group requests concerning payments transactions in a short delay (fraud, compliance and atypical activities) considering the golden rules for justifications	Automatic	Each occurrence	Treasury Operations	PM.P2.1-1.2
		PM P2.2	On a sampling method, review alerts have been responded in a short delay considering the golden rules for justifications	Manual	Monthly	Treasury Operations Leader	PM.P2.1-2.2
PM P2.3	Non execution of payment on correct value date	PM P2.3	Ensure signatories are available to sign payments on the correct value date defined in payment calendar	Manual	Each payment Campaign	Treasury Operations	PM.P2.1-1.3
		PM P2.3	Ensure a calendar is set up for each payment campaign and signatories are planned to sign each payment campaign	Manual	Monthly	Treasury Operations Leader	PM.P2.1-2.3



RISKS



OPERATIONAL CONTROLS

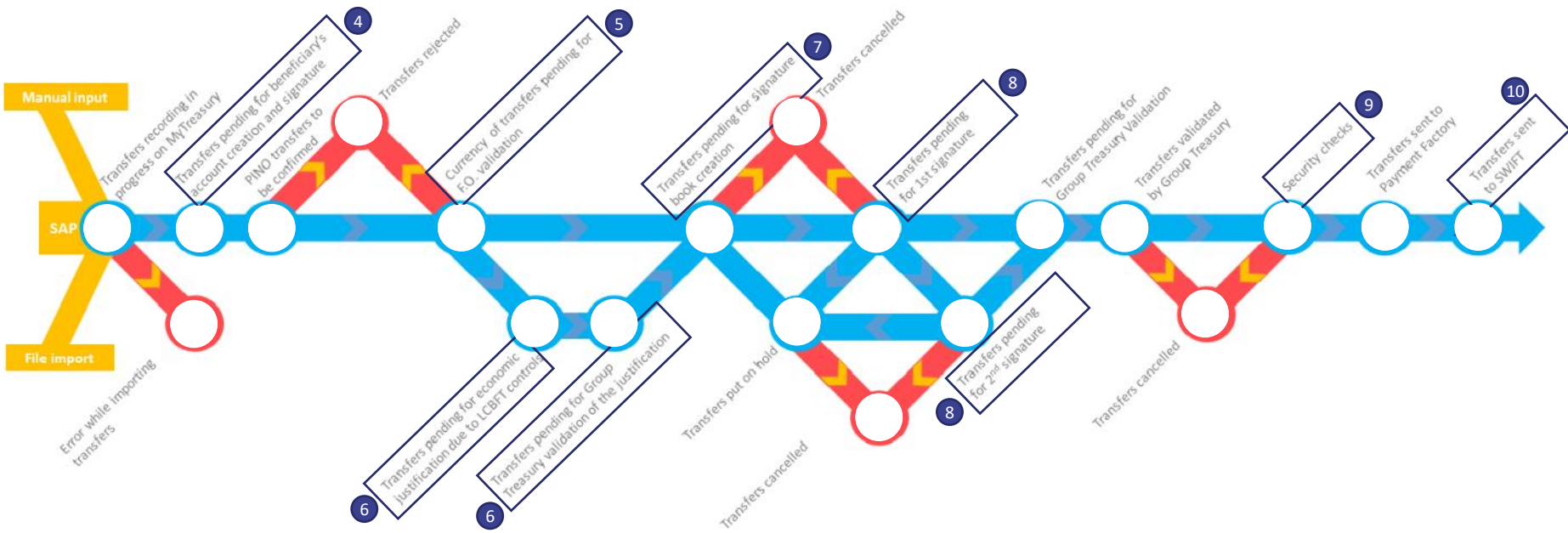


MANAGERIAL CONTROLS



Controls are currently under review jointly with BEST ICM and will be updated for a next TTP release

PAYMENTS USING FINVAL CURRENT ACCOUNT PROCESS DISPLAYED ON PAYMENT TRACKER



Payment tracker is available in MyTreasury : [P.Report > Payments > Reports > Payment Tracker](#)

An Automatic email is sent via MyTreasury requesting the justification for the payment release.

6

Anti-fraud controls : example of a request for justification

Hello,

Non Group payment made by your entity
whose characteristics are described below,
has been blocked by Group Treasury controls for the purpose of anti money laundering.

Operation Ref.

Amount : 115 015,08

Currency : USD

Beneficiary :

Value Date : 25/01/2024

In order to proceed with the payment, you must connect yourself to MyTreasury as soon as possible,

In the menu "Transfers / Check transfers rules / Risk transfer justify" to explain the economic reason of this payment.

In order to assist you, you can access to the user guide in the menu «Documentation/P.Report».

If you do not provide us with any suitable justification, this payment will not be submitted for signature.

Group Treasury Help Desk remains at your disposal for any further information

It is reachable by phone at 33 1 47 56 40 04 or with the link <https://loreal.service-now.com/myservices/>.

This mail is automatically sent. Please, do not reply.

Best regards

Golden rules for justification

- Economic reason
- Generic term
- No specific code or abbreviation
- Response only in English
- Invoice is not an original payment economic reason



6

Complementary legal information request regarding the payments processed

Hello,

Intragroup payment made by your entity , whose characteristics are described below, has been blocked by MyTreasury as additional information are mandatory to execute a transfer in CNY.

- Operation Ref.:
- Amount: 30 100,00
- Currency: CNY
- Beneficiary:
- Value Date: 29/01/2024

In order to proceed with the payment, you must connect yourself to MyTreasury as soon as possible, in the module " P.Report ", "AML-CFT - Justification/ Risk transfer justify" to

- add a purpose of payment code included in the list below:

- PAYT/02112 Trade related Payment
- PAYT/02113 Return of a Trade related Payment
- PAYT/02114 Service related Payment
- PAYT/02115 Return of a Service related Payment
- PAYT/02116 Capital item related Payment
- PAYT/02117 Return of a Capital item related Payment
- PAYT/02123 Individual Payment
- PAYT/02124 Return of an Individual Payment
- PAYT/02125 Other recurrent item related payments*
- PAYT/02127 Inter-bank cross-border funding transfer
- explain the economic reason of this payment in English

If you do not provide us with any suitable justification, this payment will not be submitted for signature.

MyTreasury Help Desk remains at your disposal for any further information

It is reachable by phone at +33 1 47 56 40 04 or with the link <https://loreal.service-now.com/myservices/>

This mail is automatically sent. Please, do not reply.

Best regards

Golden rules for justification

- The payment code only from the provided list available in the email and MyTreasury.
- Follow instructions in the e-mail received
- Economic reason brief and concise
- Response only in English



IN CASE OF NON-RESPECT OF THIS RULES, THE PAYMENT WILL BE REJECTED IN THE BANKING SYSTEM



When a payment is blocked in the Anti-Fraud control, it must be justified by Anti-fraud and compliance correspondent using the following path: **MyTreasury/P.Report > AML-CFT Justification > Risk transfer justify**

9

Request from T&CF regarding an atypical payment detected

An email is sent by the Treasury operations team in order to validate the payment characteristics

Good day Team,

Payments' security is our priority!
As a complementary security of our signatory and validation workflows in My Treasury, kindly confirm us the authenticity of the below payment in response to this e-mail:

Deal number	Transfer Ref.	Transfer Type	Subsidiary	Counterparty	Beneficiary	Amount	Currency	Value Date	Justif.	Status	Tracking number	Created by
Treasury Transfer						750,000,000.00	JPY	23/10/2020	Validated by Treasury			

Thank you in advance for your confirmation.

Best regards,

11

Bank compliance control on FINVAL payments

Hello,

In order to be compliant with the international rules, BNP Paribas asks us to provide additional information on the below mentioned payment **before 15/07/2020**

Our company :

- Finval (Viban)
- [REDACTED]
- Bank (BNPAFRPP)

Ordering :

- Joint Stock Company L'Oreal Bldg
- [REDACTED]
- [REDACTED]

Payment details :

- Transaction reference : [REDACTED]
- 4386 PLN
- Value date : 06/07/2020
- Remittance information: [REDACTED]

Can you help us answer the following questions and if necessary, provide additional documentation?

1. The complete and precise economic purpose of the transaction, including a description of the underlying goods/services/technologies
2. Complete identification of all involved parties, their activities and existence of (recurrent) business with this/these counterparty(ies)
3. A copy of the invoice(s) or any other probative document(s) related to the transaction explaining payment terms and conditions

Thank you for your assistance.

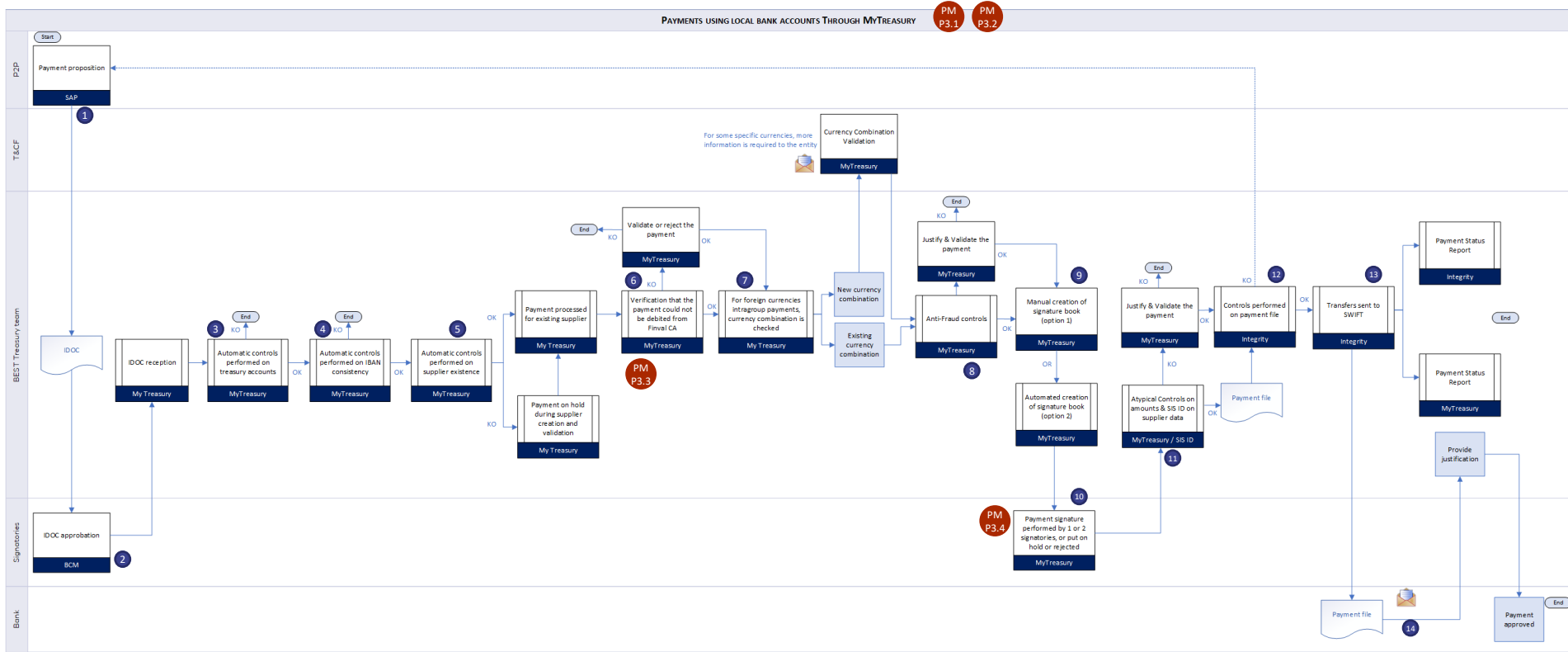
Golden rules for justification

- Quick reply is needed
- Confirmation of the payment
- Brief explanation of the payment reason
- Only in English

 IN CASE OF NON-RESPECT OF THIS RULES, THE PAYMENT WILL NOT BE PROCEEDED AND THE VALUE DATE POSTPONED



PAYMENTS USING LOCAL BANK ACCOUNTS



DESCRIPTION

The purpose of this process is to perform **payments using local bank accounts through MyTreasury** .

- 1 Payment propositions are created in SAP in [accordance with Golden Rules](#). An IDOC is automatically sent from SAP to MyTreasury.
- 2 IDOC is approved in BCM (double validation).
- 3 Automatic controls on the existence of the treasury accounts are performed, treasury account and currency used has been set up for payments using local bank accounts through MyTreasury. If the control is KO, the payment is rejected.
- 4 Automatic controls on IBAN consistency are performed. If the control is KO, the payment is rejected.
- 5 Automatic controls on supplier existence are performed in MyTreasury. For existing suppliers, the payment is processed automatically. If not, the payment is on hold until the supplier validation process is completed.
 - I An automatic control is performed to assure that the payment could not be via Finval current account. Best treasury team needs to validate or reject the payment manually.
- 6 For intragroup payments made in foreign currencies (which do not correspond to any of the functional currencies of the two entities), currency risk is managed by T&CF.
- 7 If the currency combination between the two parties already exists in the FX systems, the transaction automatically continues to the next step. If the currency combination does not exist, it needs to be created and validated by T&CF, before continuing to the next step. For some specific currencies, more information will be asked to the entity.
- 8 Anti Fraud controls are performed automatically in MyTreasury. Payment may be stopped, and the anti-fraud and compliance correspondent of the entity must answer to additional questions. See slide [justification request for additional details](#).
- 9 Once this controls are validated, the signature book can be created. It can be automatic or manual. No modification is allowed on payments after the signature book has been finalized.
- 10 Payment signature is performed by one authorized signatory for intragroup payments or two authorized signatories for external payments. Controls are performed by signatories based on BCM data according to payment delay.
- 11 Automatic security checks are performed on unusual amounts and supplier payment details (SIS ID). Subsidiary may be asked to answer additional questions and confirmations of payment authenticity.
- 12 Last controls are performed automatically in Integrity. If payment file is rejected in Integrity, a new payment proposition must be created in SAP.
- 13 Swift transfer is executed, and a payment status report is automatically received from the bank in MyTreasury & Integrity.
- 14 Payments can face compliance checks from the bank. They can require more information related to the payments and the entity must provide justification.

Workflow reference	At-risk situation	Controls		Manual / Automatic	Periodicity	Performed by	Control plan reference
PM P3.1	Non treatment of rejected payment	PM P3.1	Ensure that rejected payments have been analyzed and communicated to concerned stakeholders	Automatic	Each Occurrence	Treasury Operations	PM.P3.1-1.1
		PM P3.1	Based on a sampling, ensure operational control has been performed	Manual	Monthly	Treasury Operations Leader	PM.P3.1-2.1
PM P3.2	Non execution of payment	PM P3.2	Ensure to reply to Group requests concerning payments transactions in a short delay (fraud, compliance and atypical activities) considering the golden rules for justifications	Automatic	Each Occurrence	Treasury Operations	PM.P3.1-1.2
		PM P3.2	On a sampling method, review alerts have been responded in a short delay considering the golden rules for justifications	Manual	Monthly	Treasury Operations Leader	PM.P3.1-2.2
PM P3.3	Payment Channel is incorrect	PM P3.3	Ensure that payment could not have been performed via Finval current accounts	Semi-Automatic	Each Occurrence	Treasury Operations	PM.P3.1-1.3
		PM P3.3	Based on a sampling, ensure operational control has been performed	Manual	Monthly	Treasury Operations Leader	PM.P3.1-2.3
PM P3.4	Non execution of payment on correct value date	PM P3.4	Ensure signatories are available to sign payments on the correct value date defined in payment calendar	Manual	Each payment Campaign	Treasury Operations	PM.P3.1-1.4
		PM P3.4	Ensure a calendar is set up for each payment campaign and signatories are planned to sign each payment campaign	Manual	Monthly	Treasury Operations Leader	PM.P3.1-2.4

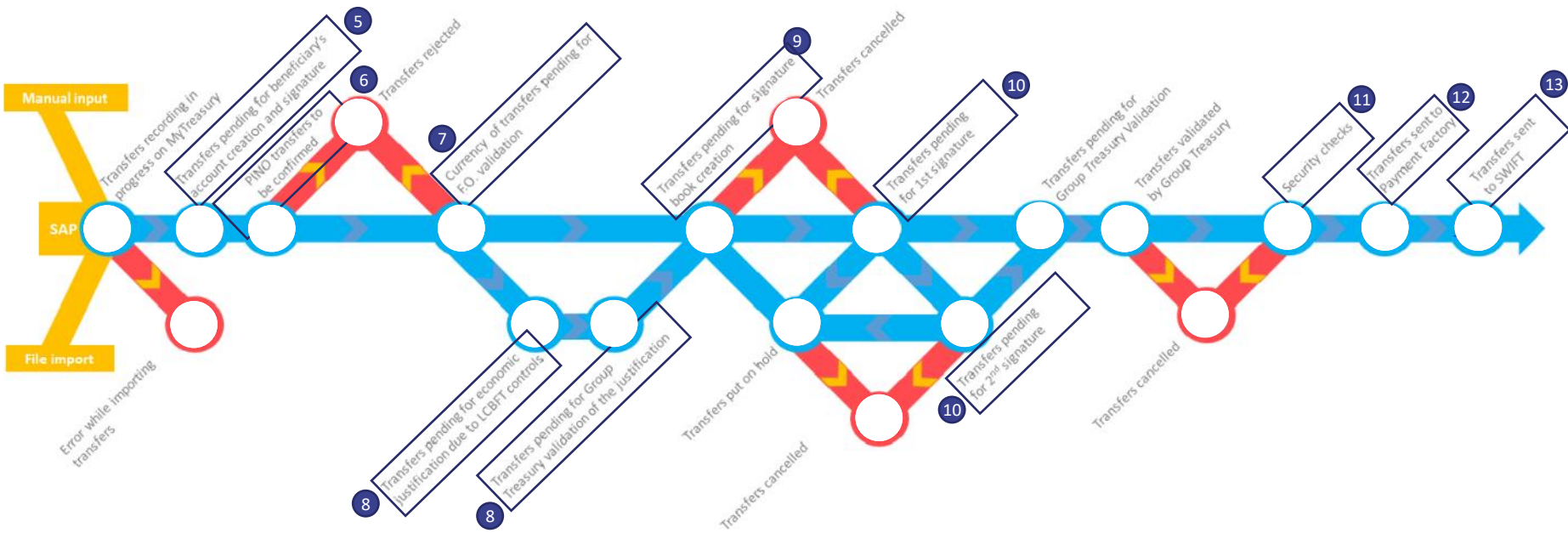
- RISKS
- OPERATIONAL CONTROLS
- MANAGERIAL CONTROLS



Controls are currently under review jointly with BEST ICM and will be updated for a next TTP release

PAYMENTS PAYMENTS USING LOCAL BANK ACCOUNTS THROUGH MYTREASURY PAYMENT TRACKER

PAYMENTS USING LOCAL BANK ACCOUNTS THROUGH MYTREASURY DISPLAYED ON PAYMENT TRACKER



01

Ensure that **master data** is correctly imported into MyTreasury, and data is **consistent in** all systems

02

- Payment campaign process
- Value date must be at least **D*+4**
 - Only **one** payment campaign per week

03

Ensure that signatories sign their payments on **D*+2**, and that each signatory has a **back-up**

04

Make sure **bank reconciliation** at **D*+6** is correctly done by the Accounting team. In case of issue, contact your bank

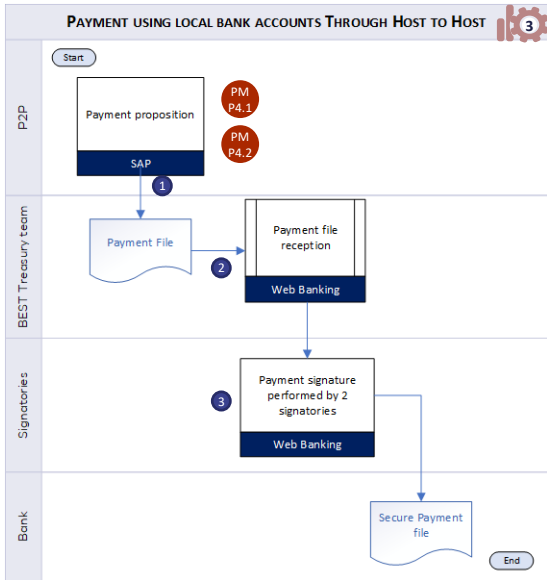
05

Ensure that Treasury accounts (local bank accounts) are created and signed in MyTreasury and Integrity

06

Ensure that the account currency is consistent with the payment currency. If the payment currency is different, you need to set up a multi-currency account

*D = Date of payment proposal in SAP



DESCRIPTION
The purpose of this process is to perform payments using local bank accounts through Host-to-Host connection. The use of Host-to-Host web banking must be justified after the implementation of the payment factory. It requires T&CF validation, and an agreement request is mandatory. 1 Payment propositions are created in SAP. A Payment file is automatically sent from SAP to the web banking. The process of the file integration must be secure. Treasury Manager is responsible for securing this process. 2 The payment file must be sealed and encrypted, and no modification authorized. Any unencrypted files must be rejected by the bank. 3 The process from the integration to signature must respect the segregation of duties and administration principles. The payment must be signed two authorized signatories. Web Banking principles are detailed in the T&CF Charter – Treasury Operations Section.

KPI	NAME	DEFINITION
	% secured web banking	Web banking used for payment where there is : • Dual administration • No manual input of payments • H2H secured connection for payment file • Encrypted and sealed payment file

PAYMENTS PAYMENTS USING LOCAL BANK ACCOUNTS THROUGH HOST TO HOST

RISKS & CONTROLS

Workflow reference	At-risk situation	Controls		Manual / Automatic	Periodicity	Performed by	Control plan reference
PM P4.1	Payment file not sealed and encrypted	PM P4.1	Ensure the payment file sent in Host to host to the web banking is sealed and encrypted and encrypted key follow up is existing	Manual	Each Occurrence	Treasury Operations	PM.P4.1-1.1
		PM P4.1	Based on a sampling, ensure operational control has been performed	Manual	Quarterly	Treasury Operations Leader	PM.P4.1-2.1
PM P4.2	Payment channel is incorrect	PM P4.2	Ensure that payment could not have been performed via MyTreasury	Manual	Each Occurrence	Treasury Operations	PM.P4.1-1.2
		PM P4.2	Based on a sampling, ensure operational control has been performed	Manual	Quarterly	Treasury Operations Leader	PM.P4.1-2.2

RISKS

OPERATIONAL CONTROLS

MANAGERIAL CONTROLS

Q&A AND PAYMENT TIPS



What is a funds return ?



It's a payment issued and rejected by a participant in the payment flow. The VIBAN must be communicated to the supplier so that the return of funds can be automatically integrated.



What are the reasons and delays for funds return ?



Usual reasons for funds return are :

- AC01 : Account identifier incorrect
- AC04 Account closed
- MS03 : reason not specified
- RRXX : for regulatory reason

There is no specific deadline for the return. Several parties are involved in the payment flow delays can be expected.



Can MyTreasury generate a swift confirmation for payments with local bank accounts ?



NO, Swift confirmation is not available in MyTreasury for payments with local bank accounts. The request should be sent to the local bank directly.



How to avoid a rejected payment ?



1/Ensure that the suppliers bank account number is correct.

2/ If suppliers' account details needs additional information in MyTreasury (e.g. intermediary bank, ABA code, for further credit ...), you can open a ticket and send a request to Treasury Operations team at T&CF.



What is the group norm regarding fees ?



The group standard regarding vendor payments fees is charge bearer SHAR (Shared). Except for Dividend & Acquisition, the fees are OUR.



Can FINVAL charge fees for payments or encashments?



NO, FINVAL never charges fees. In the payments process several parties such as correspondent bank are involved, and they charge fees. That's why the supplier receives less than expected.





Why a payment can be blocked in MyTreasury ?



It's generally due to value date. Payment status changes automatically according to value date (D-2 for Payments with Finval Current Account & D-5 for payments with local bank accounts through MyTreasury)



How to track a payment ?



For payments with local bank accounts through MyTreasury : Payment Status Report is available in Integrity (PINO) and MyTreasury

For POBO payments through Finval Account :

- From BNP account + MT101 format : BENETRACKER available in MyTreasury
- From BNP account + xml account or other banks : ticket on ServiceNow so that a request can be made to the bank



How do I know if the country of the vendor or of the entity is under IBAN standard ?



You can download the list of countries under IBAN standard in MyTreasury following this path : **P.Report > Accounts > Non-Group > IBAN countries**



Why a payment can be rejected from MyTreasury ?



Several reasons can explain a payment rejection in MyTreasury, before sending to the bank :

- Incorrect BIC
- Beneficiary's account not signed
- Debited account not found



How can we modify the value date of the payment ?



It's possible to modify the value date in MyTreasury in the module Transfer correction if the payment is not in the signature book yet. After that, no modification can be made on the value date.



What's the deadline to cancel a payment ?



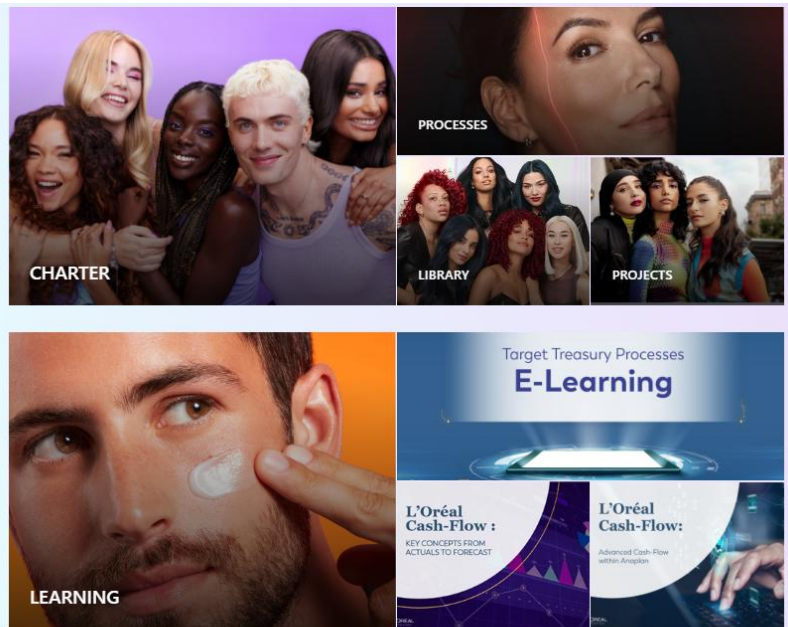
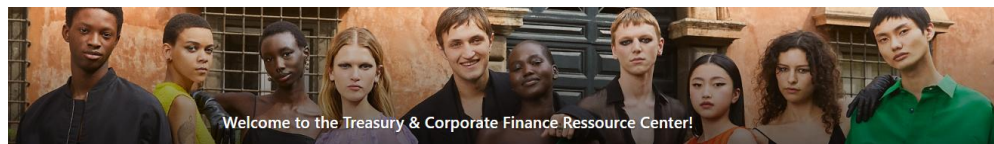
A payment can be cancelled at any step until the 2nd signature. After the signature, the payment is sent to the bank.



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